Seth, however, claimed that he had not taken the decision to withdraw from the project in a hurry. He said that it was taken ‘after deep and careful deliberation and in good conscience’. He added that he had ‘no regrets whatsoever’ in having done so. But it looked as if the stalwart had lost his sheen and ‘Midas touch’.

The TOMCO Sale

One of the major recommendations that Ratan made in his 1983 Tata Plan was for the group to exit from areas that did not fall within its core competencies. It also found reiteration in the 1990 updated Strategic Plan.

Following this, the first major company to be divested was the seventy-six-year-old Rs 400-crore Tata Oil Mills Company Ltd (TOMCO), which was started around the end of World War I in 1918. It made some well-known soaps and detergents. But over the years, it was unable to withstand competition due to product and management problems. It had a bloated workforce and operated at only around 50 per cent of its installed capacity. By March 1992, the company reported losses of Rs 13.21 crore.

On 1 April 1993, TOMCO was merged with the consumer goods multinational, Hindustan Lever Limited (HLL). It was seen as a major victory for Ratan. But the disinvestment raised the hackles of some old Tata hands. Darbari Seth was the most vocal. He primarily targeted Homi Sethna, chairman of TOMCO, for divesting the company, and derided him in a letter he wrote on 14 April. Using nearly intemperate language, Seth said: ‘In engineering the proposed merger of TOMCO with HLL, you have compromised the izzat (dignity) of the Tatas.’ He also challenged Sethna to publicly accept the responsibility for the ‘demise of TOMCO’.

The tone of the letter sent tremors through the conservative corridors of Bombay House. To make matters worse, it found its way to the press. A leading economic daily parsed its contents and published a story on 16 February 1994. Seth on his part, claimed that he had written the letter ‘in a state of agony’. The damage was, nevertheless, done. It gave the impression that Bombay House was a house divided. The stock market reacted sharply. Ratan was left to grapple with the consequences of the ‘emotional’ letter by Seth. The reports in the press cast doubt on the wisdom of Ratan’s strategy. It hurt his corporate image too. And it added to the existing opposition to the sale of the group’s assets. Speaking some two decades later, when he was stepping down as chairman of the group, Ratan recalled the